



THE BUSINESS RESOURCE CENTER

Save Time and Money with Free and Discounted Resources

As a policyholder through USLI, you have access to many free and discounted services that will assist you in operating and growing your business through the Business Resource Center (BRC). Consider the following services and associated cost savings when deciding where to place your insurance!

Free

HR Consultation Helpline and Library by PeopleSystems

Speak to a HR expert for personnel issues, including harassment and discrimination, the Family and Medical Leave Act, disability, wage and hour regulations and more.

Call 1-877-655-3566. Representatives are available from 8 a.m. to 7:30 p.m. ET. Please have your USLI policy number available for easy registration.

Data Breach Prevention and Response Resources by eRiskHub®

Better understand your exposure to a data breach and the importance of a response plan. Gain access to training videos, risk assessment, and a data breach calculator.

Loss Control Resources on Property Safety, Disaster Preparedness and Recovery

Access a library of articles, checklists and videos for guidance on how to mitigate property-related risks. Along with tips for preparing for natural disasters and severe weather.

Discounted

Background Checks and Screenings by Background Info USA

Packages include security number validation, address tracing, multi-court criminal database, sex offender and OFAC security searches, and more.

Receive your *first employment/volunteer background check package for free*. Additional screenings start at \$10, excluding court and/or state fees.

- 10-panel Drug Screening – \$36
- Tenant Screening – \$20
- Motor Vehicle Report (MVR) – \$5 + state fees
- Credit Report – \$10

HR and Payroll Management System by Primepoint

Integrated and customizable solution that saves time and provides business intelligence to manage your business more effectively. Receive 10-25% off.

Employee Workplace Assessment by Talogy

The Caliper Profile is an in-depth assessment to help employers make informed hiring decisions based on objective information. Receive the test and consultation with a representative for \$265.

State-specific Compliance Training by Traliant

Immersive learning experiences on topics like sexual harassment and prevention, workplace safety, HR, diversity and inclusion. Receive 10% off.

Stationery, Signage and Promotional Items by ANRO and Conlins Printing

Work directly with the vendor who will guide you through the process of ordering business cards, envelopes, letterhead, banners, lawn signs, table throws, posters and more. Receive 15-30% off.

Additional Online Certifications

- Alcohol Safety by LiquorTraining.com – \$11 per server
- Food Handlers and Managers by StateFoodSafety – 10% off
- CPR and First Aid by Protraining – 10% off



**Use your policyholder benefits to their fullest.
Visit bizresourcecenter.com to get started.**



24/7 CLAIM REPORTING

In our continuing effort to provide you with excellent claim service, you may now report a claim and get claim assistance 24 hours a day/7 days a week.

For claim reporting, call toll free 1-888-875-5231 or visit USLI.COM and select the “report a claim” option.

For emergency claims requiring immediate assistance, please use the toll free option. Your call will be referred to a claims professional who will respond within an hour of your call with direction and assistance.

Thank you for placing your trust in our company. We pledge to work hard every day to earn and maintain that trust.



USLI.COM
888-523-5545



Privacy Notice At Collection

We may need to collect certain personal information to provide you with our services and products. For information on how we store, use and protect personal information, please see our Privacy Policy accessible on our website, <https://www.usli.com/privacy-policy/>.

FREE PRIVACY BREACH RISK MANAGEMENT RESOURCES



WILL YOU BE PREPARED WHEN A PRIVACY BREACH OCCURS?

Every year, thousands of privacy breaches are reported, exposing millions of people's personal information. The eRiskHub® portal, powered by NetDiligence®, is an effective way to combat privacy breaches and other types of cyber losses.

With your USLI policy, you will receive instructions on how to access and begin using the eRiskHub® portal—a benefit that is valued in excess of \$1,200 a year!

eRiskHub® an all-in-one resource for becoming educated about and prepared for a privacy breach. This free service is available to USLI policyholders.

Using proprietary tools anchored in proven risk management principals, NetDiligence® provides a full range of enterprise-level information security, e-risk insurability and regulatory compliance assessment and testing services. NetDiligence® supports and is endorsed by some of the world's largest network liability insurance underwriters.

HOW TO START USING THIS FREE OFFERING:

- ▶ Go to eriskhub.com/usli
- ▶ Select "**Register Now**" to set up a free account
- ▶ Create your own username and password;
your access code is **08451**

KEY FEATURES OF THE ERISKHUB® PORTAL



Data breach calculators: Learn how to estimate the cost of a breach, notifications and business interruption.



Learning center: Explore best practices articles, white papers and webinars from leading technical and legal experts. Highlighted topics include PCI compliance and social engineering.



Security training: Watch videos to learn about best practices in security and privacy awareness, or download a training guide.



Risk manager tools: Discover how your cybersecurity measures up to industry best-practices with a self-assessment, and find other resources to assist you with cyber risk management such as sample privacy policies.



Ransomware resources: Listen to experts discuss challenges and best practices to prevent ransomware attacks, and browse our site to discover the impact of an attack based on hundreds of real incidents.



Consultation: Our Breach Coach, HIPPA Coach and Security Coach are available to assist you.



BEST PRACTICES FOR PROPERTY MANAGERS: STAYING OUT OF COURT

by Barry J. Reagan Esq., Slaughter & Reagan LLP and Joanne Burns, ARM, USLI Vice President - Casualty and E&O Claims

Claims and lawsuits against property managers are on the rise; it is more and more common for a property owner or homeowners association to sue their own property manager. Defense of these claims often exceeds \$100,000 in legal fees. Whether it is a management agreement, lease agreement, accounting records or decisions made by the board of directors of a client, documentation is always the key to a good defense. The following are tips to help you reduce your liability risks and stay out of court.

TENANT RISK MANAGEMENT

Risk reduction for rental properties starts with a solid lease with tenants.

- ▶ The lease should include a separate acknowledgment (as opposed to boilerplate language in the lease), that the resident has carefully inspected the premises and that the premises are in a clean and satisfactory condition.
- ▶ The lease should state that it is the resident's responsibility to keep the "interior of the unit clean" and that the resident should promptly notify the property manager of any maintenance and repair requests, including leaks, moisture problems and/or mold growth.
- ▶ Attorney's fees often become the greatest exposure in the case so the lease should contain a provision capping attorney's fees such as: "ATTORNEY'S FEES: If any legal action or proceeding be brought by either party to this agreement, the prevailing party shall be reimbursed for all reasonable attorney's fees up to but not exceeding \$500.00 in addition to other damages awarded. The attorney's fees limitation applies to statutory, tort and contractual claims."
- ▶ Residents often allege that he or she made "numerous" verbal complaints to the property manager with "no response." In order to properly defend against these claims, it is essential that the property management company have a system in place that can be referenced by defense counsel as evidence against such claims. If you have a written system and policy in place and there is no evidence that a phone call was made by a resident, defense counsel can use the absence of such information as evidence that the resident did not, in fact, make any verbal complaints.
- ▶ To help protect against claims by rental tenants or the rental property owner, we also recommend annual inspections with a written checklist of rooms and areas inspected and include digital photographs from the inspection. As with the move-in inspection, the resident should acknowledge that the unit is in a satisfactory condition.

Tenant discrimination and failure to maintain habitability claims are on the rise.

- ▶ The claims will demand statutory damages including an award of attorney fees which often are the cost driver of the litigation. We recommend that managers follow a written policy of non discrimination along with a comprehensive written policy for responding to complaints. The maintenance complaint policy should include intake forms for inquiries and complaints. The policy should include how the property manager is going to respond to complaints. We recommend that a form be created where the nature of the complaint, including date and time, is identified; the response to the complaint; and an acknowledgment by the resident that the problem was remedied. Appendix A. is a sample of such a form.
- ▶ It is imperative that you use licensed and insured vendors in responding to water damage and mold complaints. Water intrusion, leaking plumbing and mold complaints must be immediately investigated and remedied. We recognize that residents often create, cause or exacerbate water and mold issues. Appendix B. is a sample lease addendum you should consider incorporating into your leases. This addendum outlines the duties and responsibilities of the resident.

CLIENT RISK MANAGEMENT

- ▶ Property managers should have an express defense and indemnity provision in the management contract with the property owners or homeowners association. Sample wording follows: "The property owner shall Defend and Indemnify the Manager even in the absence of any insurance coverage to meet such obligation."
- ▶ The management contract should provide that the property manager be named as an additional insured on the property owner's insurance policy. Be sure to follow-up with the insurance agent for the property owner or homeowners association to confirm coverage for the property manager and secure the additional insured endorsement.
 - Why? A typical Comprehensive General Liability policy may not cover a slip and fall claim that occurs at a property managed by the insured property manager. The professional liability policy for the property manager also may not cover any bodily injury or general liability claims. Note: Some property owner or homeowners association policies also automatically include "real estate manager" under their definition of insured since those policies are meant to cover the property manager as well.



APPENDIX A

Place a check mark next to needed repairs or replacements:

<u>Bath</u>	<u>Kitchen</u>	<u>Electrical</u>	<u>Misc.</u>
☐ Shower/Tub	☐ Stove	☐ Heating/AC	☐ Screens
☐ Toilet	☐ Oven	☐ Fireplace	☐ Windows/Drapes
☐ Faucet (Cold)	☐ Dishwasher	☐ Smoke Detectors	☐ Carpet/Flooring
☐ Faucet (Hot)	☐ Trash Compactor	☐ Outlets/Wall Switch*	☐ Closet Door/Rod
☐ Fan	☐ Faucet	☐ Other*	☐ Other*
☐ Sink*	☐ Garbage Disposal		
☐ Other*	☐ Microwave		
	☐ Cabinets		
	☐ Drawers		
	☐ Ceiling Light		
	☐ Other*		
☐ Repair	☐ Repair	☐ Repair	☐ Repair
☐ Replace	☐ Replace	☐ Replace	☐ Replace

*Specify in Notes

Description of repair or replacement and notes:



APPENDIX B

MOLD NOTIFICATION ADDENDUM TO RENTAL AGREEMENT LEASE

THIS AGREEMENT made and entered into between _____, "Owner/Agent" and _____, "Resident." Resident is renting from Owner/Agent the premises located at:

Street Address: _____ Unit # (if applicable): _____

City: _____ State: _____ Zip: _____

It is our goal to maintain the highest quality living environment for our residents. Therefore, know that the Owner/Agent has inspected the unit prior to lease and knows of no damp or wet building materials and knows of no mold or mildew contamination. Resident is hereby notified that mold, however, can grow if the premises are not properly maintained or ventilated. If moisture is allowed to accumulate in the unit, it can cause mildew and mold to grow. It is important the Residents regularly allow air to circulate in the apartment. It is also important that Residents keep the interior of the unit clean and that they promptly notify the Owner/Agent of any leaks, moisture problems, and/or mold growth.

Resident agrees to maintain the premises in a manner that prevents the occurrence of an infestation of mold or mildew in the premises. Resident agrees to uphold this responsibility in part by complying with the following list of responsibilities:

1. Resident agrees to keep the unit free of dirt and debris that can harbor mold.
2. Resident agrees to immediately report to the Owner/Agent any water intrusion, such as plumbing leaks, drips, or "sweating" pipes.
3. Resident agrees to notify owner of overflows from bathroom, kitchen, or unity laundry facilities, especially in cases where the overflow may have permeated walls or cabinets.
4. Resident agrees to report to the Owner/Agent any significant mold growth on surfaces inside premises.
5. Resident agrees to allow the Owner/Agent to enter the unit to inspect and make necessary repairs.
6. Resident agrees to use bathroom fans while showering or bathing and to report to the Owner/Agent any non-working fans.
7. Resident agrees to use exhaust fans whenever cooking, dishwashing, or cleaning.
8. Resident agrees to use all reasonable care to close all windows and other openings in the premises to prevent outdoor water from penetrating into the interior unit.
9. Resident agrees to clean and dry any visible moisture on windows, walls, and other surfaces, including personal property, as soon as reasonably possible. (Note: Mold can grow on damp surfaces within 24 to 48 hours.)
10. Resident agrees to notify the Owner/Agent of any problems with the air conditioning or heating systems that are discovered by the Resident.
11. Resident agrees to indemnify and hold harmless the Owner/Agent from any actions, claims, losses, damages and expenses, including, but not limited to, attorneys' fees that the Owner/Agent may sustain or incur as a result of the negligence of the Resident or any guest or other person living in, occupying, or using the premises.

The undersigned Resident(s) acknowledge(s) having read and understood the foregoing, and receipt of a duplicate original.

Applicant: _____

Applicant's Address: _____

Home Phone: _____ Work Phone: _____

Applicant: _____

Applicant's Address: _____

Home Phone: _____ Work Phone: _____

Date: _____ Owner/Agent: _____



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No. PM 1551781J

NAMED INSURED AND ADDRESS:
THE LANCE MANAGEMENT CORPORATION, INC.
9900 WEST SAMPLE ROAD, SUITE 300
CORAL SPRINGS, FL 33065

POLICY PERIOD: (MO. DAY YR.) From: 01/01/2026 To: 01/01/2027

12:01 A.M. STANDARD TIME AT YOUR
MAILING ADDRESS SHOWN ABOVE

FORM OF BUSINESS:

BUSINESS DESCRIPTION: Property Manager

IN RETURN FOR THE PAYMENT OF THE PREMIUM, AND SUBJECT TO ALL THE TERMS OF THIS POLICY, WE AGREE
WITH YOU TO PROVIDE THE INSURANCE AS STATED IN THIS POLICY.

THIS POLICY CONSISTS OF THE FOLLOWING COVERAGE PARTS FOR WHICH A PREMIUM IS INDICATED.

	PREMIUM
Errors And Omissions Liability Coverage Part	\$1,190.00
FIGA Surcharge	\$11.90
TOTAL:	\$1,201.90

Coverage Form(s) and Endorsement(s) made a part of this policy at time of issue
See Endorsement EOD (1/95)

Agent: CRC BINDING ORLANDO (1782)
240 E. Central Parkway, Suite 3000
Altamonte Springs, FL 32701

Issued: 01/05/2026 8:35 AM

Broker:

By: 
Authorized Representative

EXTENSION OF DECLARATIONS

Policy No. PM 1551781J

Effective Date: **01/01/2026**

12:01 AM STANDARD TIME AT YOUR MAILING ADDRESS

FORMS AND ENDORSEMENTS

The following forms apply to the Errors And Omissions Liability coverage part

<i>Endt#</i>	<i>Revised</i>	<i>Description of Endorsements</i>
Jacket FL	12/19	Policy Jacket
PL 1 PFAS	03/23	Exclusion - Perfluoroalkyl And Polyfluoroalkyl Substances (Pfas)
PM 100	03/01	Property Managers Professional Liability Policy Form
PM 101	06/01	Coverage Part A Property Managers Errors And Omissions
PM 102	06/01	Coverage Part B (Tenant Discrimination)
PM 108	07/19	Errors and Omissions Retroactive Date Endorsement
PM 115	10/99	Tenant Discrimination Retroactive Date Endorsement
PM 137	11/02	USA & Territories Endorsement
PM 138	02/14	Amendment of Conditions
PM 140	07/19	Personal Injury Coverage Endorsement
PM 141	09/06	Application Definition Clarification Endorsement
PM 143	02/14	Real Estate Endorsement - Tenant Discrimination
PM 162	10/15	Bodily Injury And Property Damage Sublimit Coverage
PM 166	04/24	Coverage Part A. Clarification Endorsement
PM 167	07/19	Coverage Part B. Clarification Endorsement
PM FL	04/06	Florida State Amendatory Endorsement
PROF-002	07/03	Mold, Fungus, Bacteria, Virus And Organic Pathogen Endorsement - Professional
PROF-003	11/01	War or Terrorism Exclusion

PROPERTY MANAGERS PROFESSIONAL LIABILITY COVERAGE PART DECLARATIONS

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE POLICY COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENSION PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE DEDUCTIBLE.

No. PM 1551781J

Effective Date: 01/01/2026

12:01 AM STANDARD TIME

ITEM I. NAMED INSURED AND PRINCIPAL ADDRESS

THE LANCE MANAGEMENT CORPORATION, INC.
9900 WEST SAMPLE ROAD, SUITE 300
CORAL SPRINGS, FL 33065

ITEM II. POLICY PERIOD: (MM/DD/YYYY) From: 01/01/2026 To: 01/01/2027

ITEM III. COVERAGE PART A. Property Managers Errors and Omissions

LIMITS OF LIABILITY	\$100,000	EACH CLAIM	\$100,000	ANNUAL AGGREGATE
DEDUCTIBLE:	\$2,500	EACH CLAIM		
PREMIUM:	\$1,190			
RETROACTIVE DATE:	01/01/2010			

ITEM IV. COVERAGE PART B. Tenant Discrimination

LIMITS OF LIABILITY	\$100,000	EACH CLAIM	\$100,000	ANNUAL AGGREGATE
DEDUCTIBLE:	\$2,500	EACH CLAIM		
PREMIUM:	\$0			
RETROACTIVE DATE:	01/01/2010			

ITEM V. COVERAGE PART C. Employment Practices Liability

NOT PURCHASED

ITEM VI. Coverage Form(s)/Part(s) and Endorsement(s) made a part of this policy at
See Endorsement EOD (01/95)

THESE DECLARATIONS ARE PART OF THE POLICY DECLARATIONS CONTAINING THE NAME OF THE INSURED AND THE POLICY PERIOD.

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INSURANCE

POLICY

UNITED STATES LIABILITY INSURANCE GROUP

A STOCK COMPANY

A BERKSHIRE HATHAWAY COMPANY

1190 Devon Park Drive
Wayne, PA 19087-2191
CUSTOMER SERVICE: 888-523-5545 – USLI.COM

This policy jacket together with the policy declarations, coverage forms and endorsements, if any, complete this policy.

The enclosed declarations designates the issuing company.

INSURANCE POLICY

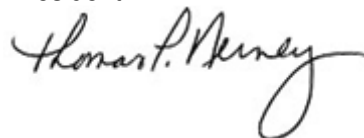
Read your policy carefully!

In Witness Whereof, the company has caused this Policy to be executed and attested. Where required by law, this Policy shall not be valid unless countersigned by a duly authorized representative of the company.

Secretary

Handwritten signature of Lauren Riley in cursive script.

President

Handwritten signature of Thomas P. McKinney in cursive script.

This endorsement changes insurance provided under the following:

**NON PROFIT MANAGEMENT LIABILITY POLICY
COMMUNITY ASSOCIATION DIRECTORS AND OFFICERS LIABILITY
COVERAGE FORM
PUBLIC OFFICIALS LIABILITY
PROPERTY MANAGERS ERRORS AND OMISSIONS
PROPERTY MANAGERS TENANT DISCRIMINATION
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
TECHNOLOGY PROFESSIONAL LIABILITY COVERAGE FORM
ALLIED HEALTHCARE PROFESSIONAL LIABILITY COVERAGE FORM
MICRO PRO PROFESSIONAL LIABILITY COVERAGE FORM
SPECIFIED PROFESSIONS PROFESSIONAL LIABILITY COVERAGE FORM
TECHNOLOGY PROFESSIONAL LIABILITY INSURANCE COVERAGE
INSURANCE AGENTS AND BROKERS PROFESSIONAL LIABILITY COVERAGE
FORM**

**EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL
SUBSTANCES (PFAS)**

This insurance does not apply to:

Perfluoroalkyl And Polyfluoroalkyl Substances

The **Company** shall not be liable to make payment for, as defined by the applicable policy above; **Loss, Defense Costs, Claim(s) Expense(s) or Cyber Event** in connection with any **Claim** made against the **Insured** arising out of, directly or indirectly resulting from, in consequence of, in whole or in part, or in any way involving any actual or alleged;

- a. threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any **perfluoroalkyl or polyfluoroalkyl substances**; and
- b. abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, **perfluoroalkyl or polyfluoroalkyl substances**, by any **Insured** or by any other person or entity.

Perfluoroalkyl or polyfluoroalkyl substances means any:

1. Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:
 - a. Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;
 - b. Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;
 - c. Perfluoropolyethers (PFPE);
 - d. Fluorotelomer-based substances; or

- e. Side-chain fluorinated polymers
- 2. Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph 1.

All other terms and conditions of this policy are the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.

Property Managers Professional Liability Policy Form

Common Policy Conditions

The following terms and conditions shall apply to Coverage Part A. Property Managers Errors and Omissions, Coverage Part B. Tenant Discrimination (if purchased) and Coverage Part C. Employment Practices Liability (if purchased).

1. EXTENSION PERIOD

- A. If the **Company** shall cancel or non-renew this Policy for reasons other than nonpayment of premium, the **Named Insured** shall have the right to purchase an extension of coverage granted by this Policy to report any **Claim(s)** which may be first made against the **Insured** during the twelve (12) months after the date of such cancellation or non-renewal, but only in respect of any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** committed before the date of such cancellation or non-renewal.

The additional premium for the Extension Period shall be 100% of the annual premium set forth in the Declarations. The Extension Period shall start on the termination date of the Policy. The **Named Insured** must notify the **Company** in writing and must pay the additional premium set forth above no later than 30 days after the effective date of such cancellation or non-renewal.

- B. All premium paid with respect to an Extension Period shall be deemed fully earned as of the first day of the Extension Period. For the purpose of this clause, any change in premium term or terms on renewal shall not constitute a refusal to renew.
- C. The Limits of Liability available during the Extension Period shall not exceed the balance of the Limits of Liability in effect at the time the Policy is terminated.
- D. Coverage for **Claim(s)** first received and reported during the Extension Period shall be excess over any other valid and collectible insurance providing substantially the same coverage as this Policy.

2. DEFENSE AND SETTLEMENT

The **Company** has the right to negotiate the settlement of any **Claim** as it deems expedient,

whether within or above the Deductible, but only with the **Insured's** consent. If the **Insureds** refuse to consent to any settlement recommended by the **Company**, the **Insureds** shall thereafter be obligated to negotiate or defend such **Claim** independently of the **Company**. Subject to the Limit of Liability, the liability of the **Company** for such **Claim** is limited to the amount in excess of the Deductible which the **Company** would have contributed to the settlement had the **Insureds** consented to settlement plus **Defense Costs** covered by the Policy incurred up to the date of such refusal to settle.

The **Insureds** agree to cooperate with the **Company** on all **Claims**, and provide such assistance and information as the **Company** may reasonably request. Upon the **Company's** request, the **Insureds** shall submit to examination and interrogation by a representative of the **Company**, under oath if required, and shall attend hearings, depositions, trials and shall assist in the conduct of suits, including but not limited to effecting settlement, securing and giving evidence, obtaining the attendance of witnesses, giving written statements to the **Company's** representatives and meeting with such representatives for the purpose of investigation and/or defense, all of the above without charge to the **Company**. The **Insureds** further agree not to take any action which may increase the **Insured's** exposure for Loss or **Defense Costs**.

The **Insureds** shall execute all papers required and shall do everything that may be necessary to secure and preserve any rights of indemnity, contribution or apportionment which the **Insureds** may have, including the execution of such documents as are necessary to enable the **Company** to bring suit in their name, and shall provide all other assistance and cooperation which the **Company** may reasonably require. The **Insureds** shall not demand or agree to arbitration of any **Claim** without the written consent of the **Company**. The **Insureds** shall not, except at personal cost, make any payment, admit any liability, settle any **Claims**, assume any obligation, or incur any expense without the **Company's** written consent.

3. NOTICE/CLAIM REPORTING PROVISIONS

Notice hereunder shall be given in writing to the **Company**. If mailed, the date of mailing of such notice shall constitute the date that such notice was given and proof of mailing shall be sufficient proof of notice.

- A. The **Insured** shall, as a condition precedent to the obligations of the **Company** under this Policy, give written notice to the **Company** as soon as practicable during the Policy Period, but no later than 60 days after the expiration of this Policy or during any Extension Period (if applicable), of any **Claim** made against the **Insured**.
- B. If written notice of a **Claim** has been given to the **Company** pursuant to Clause 3.(A) above, then any **Claim** which is subsequently made against the **Insured** and reported to the **Company** alleging, arising out of, based upon or attributable to the facts alleged in the **Claim** of which such notice has been given, or alleging any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** which is the same as or related to any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** alleged in the **Claim** of which such notice has been given, shall be considered made at the time such notice was given.
- C. If during the **Policy Period** the **Insured** shall become aware of any circumstances which may reasonably be expected to give rise to a **Claim** being made against an **Insured**, the **Insured** shall give written notice to the **Company** of the circumstances and the reasons for anticipating such a **Claim** with full particulars as to dates and persons involved. Any **Claim** which is subsequently made against an **Insured** and reported to the **Company** alleging, arising out of, based upon or attributable to such circumstances or alleging any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** which is the same as or related to any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** alleged or contained in such circumstances, shall be considered made at the time such notice of such circumstances was given provided the

Claim is in fact first made and reported to the **Company** during a Policy the **Company** has issued to the **Named Insured** or during any Extension Period or within two years of the date of termination or non-renewal of the **Named Insured's** coverage.

4. CANCELLATION OR NON-RENEWAL

This Policy may be canceled by the **Named Insured** by either surrender thereof to the **Company** at its address stated on the Declarations or by mailing to the **Company** written notice requesting cancellation and in either case stating when thereafter such cancellation shall be effective. If canceled by the **Named Insured**, the **Company** shall retain the customary short rate proportion of the premium. The Policy may be canceled by the **Company** by mailing to the **Named Insured**, at the **Named Insured's** address shown in the Declarations, written notice stating when, not less than thirty (30) days thereafter, such cancellation shall be effective, except for nonpayment of premium. In the event of the failure of the **Insured** to pay the premium when due, this Policy may be canceled by the **Company** by mailing to the **Named Insured** written notice when, not less than ten (10) days thereafter, such cancellation shall be effective.

In the event the **Company** refuses to renew this Policy, the **Company** shall mail to the **Named Insured**, not less than thirty (30) days prior to the expiration of the Policy, written notice of non-renewal. Such notice shall be conclusive on all **Insureds**.

The mailing of notice of cancellation or non-renewal as aforementioned shall be sufficient notice and the effective date of cancellation or non-renewal stated in any such notice shall become the end of the **Policy Period**. Delivery of such written notice by the **Named Insured** or the **Company** shall be equivalent to the mailing.

If the Policy is canceled by the **Company**, earned premium shall be computed pro rata. Premium adjustment may be made at the time cancellation is effected, or as soon as practicable thereafter.

5. REPRESENTATIONS CLAUSE

The **Insureds** warrant that the particulars and statements contained in the **Application** are true and agree that (1) those particulars and statements are the basis of this Policy and are to be considered as incorporated into and constituting a part of the Policy; (2) those particulars and statements are material to the acceptance of the risk assumed by the **Company**; and (3) this Policy is issued in reliance upon the truth of such representations.

6. SUBROGATION

In the event of any payment under this Policy, the **Company** shall be subrogated to the **Insured's** right of recovery therefore against any person or organization and the **Insured** shall execute and deliver such instruments and papers and do whatever else is necessary to secure such rights. The **Insured** shall do nothing to prejudice such rights.

7. CHANGES

Notice to any agent or knowledge by any agent shall not effect a waiver or change in any part of this Policy or stop the **Company** from asserting any right under the terms of this Policy, nor shall the terms of this Policy be waived or changed except by an endorsement, issued by the **Company** to form a part of this Policy.

8. AUTHORIZATION CLAUSE AND NOTICES

By acceptance of this Policy, all **Insureds** agree that the **Named Insured** shall act on behalf of all **Insureds** with respect to the giving and receiving of any return premiums that may become due under this Policy. Notice to the **Named Insured** shall be directed to the individual named in the **Application**, or such other person as shall be designated by the **Named Insured** in writing, at the address of the **Named Insured**. Such notice shall be deemed to be notice to all **Insureds**. The **Named Insured** shall be the agent of all **Insureds** to effect changes in the Policy or purchase Extension Periods.

9. ASSIGNMENT

Assignment of interest under this Policy shall not bind the **Company** unless its consent is endorsed hereon.

10. OTHER INSURANCE

This Policy shall be excess of and not contribute with other existing insurance, including but not limited to any insurance under which there is a duty to defend, unless such other insurance is specifically written to be in excess of this Policy.

11. TERMS OF POLICY CONFORMED TO STATUTE

Terms of this Policy which are in conflict with the statutes of the State wherein this Policy is issued are hereby amended to conform to such statutes.

12. CHANGES IN EXPOSURE

A. If after the Inception Date of this Policy:

- (1) the **Named Insured** shall consolidate with or merge into, or sell all or substantially all of its assets to any other person or entity or group of persons or entities acting in concert;
- (2) any person or entity or group of persons or entities acting in concert shall acquire an amount of the outstanding securities representing more than 50% of the voting power for the election of directors of the **Named Insured**, or acquires the voting rights of such an amount of securities; or
- (3) the **Named Insured** shall manage a commercial or industrial property which affects their total revenue by more than 25% from the previous year;

the above events referred to as the "Transaction",

then this Policy shall continue in full force and effect as to **Wrongful Acts, Wrongful Tenant Discrimination or Wrongful Employment Acts** occurring prior to the effective time of the Transaction, but there shall be no coverage afforded by any provision of this Policy for any actual or alleged **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** occurring after the effective time of the Transaction.

This Policy may be canceled after the effective time of the Transaction and the entire premium for this Policy shall be deemed earned as of such time. The

Named Insured shall have the right to an offer by the **Company** of an Extension Period described in Section 1 of the Common Policy Conditions of this Policy.

The **Named Insured** shall give the **Company** written notice of the Transaction as soon as practicable, but not later than 30 days after the effective date of the Transaction.

13. ACTION AGAINST THE COMPANY

- A. No action shall lie against the **Company** unless as a condition precedent thereto, there shall have been full compliance with all of the terms of this Policy, and until the amount of the **Insured's** obligation to pay shall have been finally determined either by judgment against the **Insured** after actual trial or by written agreement of the **Insured**, the claimant or the claimant's legal representative, and the **Company**.
- B. Any person or the legal representatives thereof who has secured such judgment or written agreement shall thereafter be entitled to recover under this Policy to the extent of the insurance afforded by this Policy.
No person or entity shall have any right under this Policy to join the **Company** as a party to any action against the **Insured** to determine the **Insured's** liability, nor shall the **Company** be impleaded by the

Insured or their legal representatives. Bankruptcy or insolvency of the **Insured** or their successors in interest shall not relieve the **Company** of its obligations hereunder.

14. SPOUSAL EXTENSION

If a **Claim** against an **Insured** includes a **Claim** against the lawful spouse of such **Insured** solely by reason of (a) such spousal status, or (b) such spouse's ownership interest in property or assets that are sought as recovery for **Wrongful Acts, Wrongful Tenant Discrimination or Wrongful Employment Acts**, any **Loss** which such spouse becomes legally obligated to pay on account of such **Claim** shall be deemed **Loss** which the **Insured** becomes legally obligated to pay as a result of the **Claim**.

All terms and conditions of this Policy, including the Deductible, applicable to Loss sustained by such **Insured** for that **Claim** shall also apply to such spousal **Loss**.

The extension of coverage afforded by this Section 14 shall not apply to the extent the **Claim** alleges any wrongful act, error or omission by such spouse.

15. ACCEPTANCE

This Policy embodies all agreements existing between the parties hereunder or any of their agents relating to this insurance.

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM

COVERAGE PART A PROPERTY MANAGERS ERRORS AND OMISSIONS

NOTICE: This is a Claims Made Policy. This Policy only covers those **Claims** first made against the **Insured** during the **Policy Period** or Extension Period, if purchased. **Defense Costs** shall be applied against the Deductible.

In consideration of the payment of premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** (and all attachments and materials submitted therewith) and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENTS

- A. The **Company** will pay on behalf of the **Insured Loss** in excess of the Deductible not exceeding the Limit of Liability to which this coverage applies that the **Insured** shall become legally obligated to pay because of **Claims** first made against the **Insured** during the **Policy Period** or if applicable, during any Extension Period, for **Wrongful Acts** of an **Insured** arising solely out of an **Insured's** duties on behalf of the **Named Insured**.
- B. The **Company** has the right and duty to defend any **Claim** to which this insurance applies, even if the allegations of the **Claim** are groundless, false or fraudulent. The **Company** may investigate any **Claim** and settle any **Claim** with the **Insured's** consent as the **Company** deems expedient, but the **Company** is not obligated to pay any damages or defend any **Claim** after the Limit of Liability has been exhausted by the payment of **Loss**.

II. FULL PRIOR ACTS PROVISION

Coverage shall apply to any **Claim** first made against the **Insured** arising out of a **Wrongful Act** committed prior to the expiration date of this Policy, provided that the **Claim** is first made during the **Policy Period**, or Extension Period, if applicable, and written notice of said **Claim** is reported to the **Company** no later than 60 days after the end of the **Policy Period** or, if applicable, during the Extension Period.

However, coverage shall not apply to any **Claim** based upon or arising out of any **Wrongful Act** or circumstance likely to give rise to a **Claim** of which any **Insured** had knowledge, or otherwise had a reasonable basis to anticipate might result in a **Claim**, prior to the earlier of:

- A. The inception of this Policy; or
- B. The inception of the first Policy with the **Company** of this type, provided the **Named Insured** has continuously renewed and maintained in effect this Policy with the **Company**.

III. DEFINITIONS

A. "Application" means:

- (1) the **Application** for the Policy, a copy of which is attached hereto; and
- (2) the **Application(s)**, including any material submitted therewith, for all previous policies issued by the **Company** providing continuous coverage until the inception date of this policy together with any material submitted with the **Application** for this Policy, all of which shall be retained on file and deemed a part of this Policy as if physically attached hereto.

B. "Claim" means:

- (1) a demand for money as compensation for a **Wrongful Act**; or
- (2) any judicial or administrative proceeding initiated against any **Insured** seeking to hold such **Insured** responsible for a **Wrongful Act**, including any appeal therefrom.

C. "Company" means the insurer identified in the Declarations.

D. **"Defense Costs"** means reasonable and necessary legal fees and expenses incurred by any attorney designated by the **Company** to defend the **Insureds** and all other fees, costs, costs of attachment or similar bonds (but without any obligation on the part of the **Company** to apply for or furnish such bonds) and expenses incurred by the **Company** resulting from the investigation, adjustment, defense and appeal of a **Claim**, but does not mean salaries, wages, overhead or benefits expenses of any **Insured**.

E. **"Insured"** means:

- (1) the **Named Insured**;
- (2) any past or present partner, officer, director, trustee, managing agent or employee of the **Named Insured**, solely while providing **Professional Services** on behalf of the **Named Insured**;
- (3) the estate, heirs, executors, administrators and legal representatives of any **Insured** in the event of such **Insured's** death, incapacity, insolvency, or bankruptcy, but only to the extent that such **Insured** would otherwise be provided coverage under this Policy.
- (4) any entity for which the **Named Insured** has agreed to provide **Professional Services**. However, such entity will only be considered an **Insured** under this Policy for **Claims** arising solely out of **Wrongful Acts** of the entity or individuals stated above in Definition E (1), (2) and (3).

F. **"Loss"** means damages and settlements, but does not include punitive or exemplary damages, that portion of any multiplied damage award which exceeds the amount multiplied, criminal or civil fines or penalties imposed by law, taxes, and matters deemed uninsurable under the law pursuant to which this Policy shall be construed.

G. **"Named Insured"** means the person or entity designated in Item 1 of the Declarations.

H. **"Policy Period"** means the period from the effective date of the Policy to the Policy expiration date as set forth in the Declarations, or its earlier cancellation or termination date, if any.

I. **"Pollutants"** means noise or any solid, liquid, gaseous or thermal irritant or contaminant, including, but not limited to smoke, vapor, soot, fumes, acids, alkalis, chemicals, toxic materials, radon, asbestos, lead, electromagnetic radiation, **Volatile Organic Compound** and gases therefrom, radon, combustion byproducts and **Waste**.

J. **"Professional Services"** means services performed by the **Insured** in the **Insured's** capacity as a property manager or leasing agent. **Professional Services** shall also mean services provided on or via the **Insured's** internet, e-mail telecommunication or similar system by the **Insured** in the **Insured's** capacity as a property manager or leasing agent.

K. **"Volatile Organic Compound"** means any compound which discharges organic gases as it decomposes or evaporates, examples of which include but are not limited to formaldehyde, pesticides, adhesives, construction materials made with organic chemicals, solvents, paint varnish and cleaning products.

L. **"Waste"** means any property intended to be disposed, recycled, reused or reclaimed by the owner or user thereof.

M. **"Wrongful Act"** means any actual or alleged negligent act, error or omission of an **Insured** arising solely from the rendering or failure to render **Professional Services**.

IV. SUPPLEMENTARY PAYMENTS

The Company will pay, in addition to the applicable limit of liability:

A. Up to \$250 for loss of earnings to each individual **Insured** for each day or part of the day of such **Insured's** attendance at the **Company's** request at a trial, hearing or arbitration proceeding involving a civil suit against such **Insured** for covered **Loss**, but the amount so payable for any one series of trials, hearings or arbitration proceedings arising out of the same negligent act, error or omission or **Wrongful Act** shall in no event exceed \$5,000; and

- B. Up to \$2,500 per **Policy Period** per **Insured**, but in no event more than \$5,000 for all **Insureds** during any **Policy Period**, for attorney fees, and other costs, expenses or fees resulting from the investigation or defense of a proceeding before a state licensing board, local real estate board or governmental regulatory body incurred as the result of a notice of a proceeding first received by the **Insured** and reported to the **Company** in writing no later than 60 days after the **Policy Period**, arising out of any **Wrongful Act** by an **Insured** covered under this policy.

V. EXCLUSIONS

The **Company** shall not be liable to make payment for **Loss** or **Defense Costs** in connection with any **Claim** made against any **Insured** arising out of, directly or indirectly resulting from or in consequence of, or in any way involving:

- A. any actual or alleged bodily injury, mental anguish, humiliation, pain, suffering, sickness, disease or death of any person, libel, slander or defamation, emotional distress, false arrest, detention or imprisonment, wrongful entry or eviction or other invasions of private occupancy, malicious prosecution, or damage to or destruction of any tangible property including any resulting loss of use;
- B. violation of any securities law or regulation, including but not limited to: the Securities Act of 1933, as amended, or the Securities Act of 1934, as amended, or any Blue Sky or Securities Laws or similar state or federal statute and any regulation or order issued pursuant to any of the foregoing statutes; or based upon common law principals of liability if made in connection with an actual or alleged violation of any of the aforementioned laws or Acts;
- C. violation of state, federal or governmental antitrust, restraint of trade or deceptive trade practice laws, rules or regulations committed by, at the direction of, or with the knowledge of any **Insured**;
- D. any **Insured** making oral or written representations, warranties or guarantees pertaining to the current or future value of any real property;
- E. breach of fiduciary duty or inability or failure to collect, transfer or safeguard funds for the **Insured's** services and/or capacity as a fiduciary under the Employee Retirement Income Security Act of 1974 and its Amendments, or any similar State or local laws or any regulation or order issued pursuant thereto;
- F. any **Claim** seeking non-pecuniary, injunctive or equitable relief;
- G. disputes involving an **Insured's** fee or charges, any personal profit or advantage to which the **Insured** is not legally entitled, or the failure or inability to pay or collect premium, escrow or tax money or the conversion, misappropriation, commingling or defalcation of funds or other property;
- H. any **Claim** made by an **Insured** against any other **Insured**, however this exclusion shall not apply to claims brought by any entity solely defined under Definition E(4);
- I. the rendering or failure to render **Professional Services** by any **Insured** as an employee, owner, partner, stockholder, trustee, director or officer of any sole proprietorship, partnership, or corporation or other business enterprise other than the **Named Insured**;
- J. any actual or alleged:
 - (1) refusal to employ;
 - (2) termination of employment;
 - (3) employment related coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, or discrimination of employment, or other employment-related practices, policies, acts or omissions; or
 - (4) discrimination or sexual harassment by an **Insured** against any person(s) or entity;
- K. liability of others assumed by any **Insured** under any contract or agreement, including any warranty, unless such liability would have attached in the absence of such contract, agreement or warranty;
- L. the failure to effect or maintain or to advise of the need to effect or maintain adequate insurance, suretyship or bond, or to collect or pay income or property tax of others;
- M. any class action suit;

- N. any cost or charges associated with repairing, building or modifying real property to accommodate or comply with the Americans With Disabilities Act, or any other antidiscrimination law or to any cost required to modify property to comply with any award by a court, administrative order, arbitration award or any similar judgment;
- O. any cost or charges associated with repairing construction defects or any claims alleging faulty construction or materials;
- P. the performance of or failure to perform services as a(n) real estate agent and/or broker, real estate consultant, buyers broker, real estate appraiser, auctioneer, tax advisor, insurance agent, insurance broker, mortgage broker or consultant, mortgage banker, escrow agent, title abstractor or title agent, home or pest inspector, attorney, architect, engineer, accountant, zoning consultant, site acquisition consultant, property developer, builder, construction advisor and/or construction manager;
- Q. the formulation, promotion, syndication, offer, sale or management of any limited or general partnership or real estate investment trust or any interest therein;
- R. any dishonest, fraudulent or criminal act or omission or deliberate misrepresentation committed by, at the direction of, or with the knowledge of any **Insured**;
- S. the return of rents, security deposits or any other funds held by an **Insured**;
- T. any pending or prior litigation or administrative or regulatory proceeding of which an **Insured** had written notice before the inception date of this Policy; or any fact, circumstance, event, situation, or **Wrongful Act** which before the inception date of this Policy was the subject to any notice under any other similar policy of insurance; or any future **Claims** or litigation based upon the pending or prior litigation or derived from the same or essentially the same facts, actual or alleged;
- U. 1. leasing or property management of property developed or constructed by:
 - A. an **Insured**; or
 - B. any entity in which an **Insured** has a financial interest or entity which has a financial interest in an **Insured**; or

- C. any entity coming under the same financial control as an **Insured**.
- 2. leasing or property management in which an **Insured's** ownership is more than 25% or any **Claim** brought by any individuals having an ownership interest in the property being managed, however this exclusion shall not apply to claims brought by any entity solely defined under Definition E (4);
- V. 1. any loss, cost or expense in connection with any **Claim** made against any **Insured**;
- 2. damages for devaluation of property or for the taking, use or acquisition or interference with the rights of others in property or air space;
- 3. any loss, cost or expense, including but not limited to fines and penalties, arising out of any governmental direction or request, or any private party or citizen action, that an **Insured** test for, monitor, clean up, remove, contain, treat, detoxify or neutralize **Pollutants**; or
- 4. any litigation or administrative procedure in which an **Insured** may be involved as a party;

arising, directly, indirectly, or in concurrence or in any sequence out of actual, alleged or threatened existence, discharge, dispersal, release or escape of **Pollutants**, whether or not such actual, alleged or threatened existence discharge, dispersal, release or escape is sudden, accidental or gradual in nature.

In addition, this insurance does not apply to any loss, cost or expense arising out of or related to any form of **Pollutant**, whether or not such actual, alleged or threatened existence, discharge, dispersal, release or escape is intentionally caused or whether or not such injury, damage, devaluation, cost or expense is expected or intended from the standpoint of the **Insured**.

This exclusion applies even if such **Pollutant** has a function in, or is used by any **Insured** in the **Insured's** business, operations, premises, site or location.

- W. any radioactive, toxic, or explosive properties of nuclear material which includes, but is not limited to, source material, "special nuclear material," and "by product material" as those terms are defined in the Atomic Energy Act of 1954 and any amendments thereto and any similar provisions of any federal, state or local statutory or common law;
- X. any portion of a **Claim** covered under any other Coverage Part of this Policy.

VI. LIMITS OF LIABILITY AND DEDUCTIBLE

Regardless of the number of **Insureds** under this Policy, **Claims** made or suits brought on account of **Wrongful Acts** or otherwise, the **Company's** liability is limited as follows:

- A. the Limit of Liability specified in the Declarations hereof as annual aggregate shall be the maximum liability for **Loss** from all **Claims** to which this Policy applies for each **Policy Period**;
- B. the Limit of Liability specified in the Declarations hereof as the Limit for each **Claim** shall be the maximum liability for **Loss** for each **Claim** to which this Policy applies;

- C. **Defense Costs** shall be in addition to the Limit of Liability as shown in the Declarations;
- D. the Deductible amount stated in the Declarations shall apply to **Loss** and **Defense Costs** and shall apply to each and every **Claim**. The **Company** shall only be liable to pay, subject to the Limits of Liability provisions stated above, for **Loss** and **Defense Costs** in excess of such Deductible, and such Deductible shall not be insured under this Policy;
- E. the Limit of Liability for the Extension Period, if applicable, shall be a part of and not in addition to the limit specified in the Declarations;
- F. **Claims** based upon or arising out of the same **Wrongful Acts**, interrelated **Wrongful Acts**, a series of similar or related **Wrongful Acts**, or essentially the same acts, errors or omissions, shall be considered a single **Claim** and shall be considered first made during the **Policy Period** or Extension Period, if applicable, in which the earliest **Claim** arising out of such **Wrongful Act(s)** was first made and all **Loss** for such **Claims** shall be subject to the one Limit of Liability that applies to such earliest **Claim**.

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM

COVERAGE PART B TENANT DISCRIMINATION

NOTICE: This is a **Claims Made** Policy. This Policy only covers those **Claims** first made against the **Insured** during the **Policy Period** or Extension Period, if purchased. The Limit of Liability available to pay **Loss** shall be reduced and may be exhausted by amounts incurred as **Defense Costs**. **Defense Costs** shall be applied against the Deductible.

In consideration of the payment of premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** (and all attachments and materials submitted therewith) and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENTS

- A. The **Company** will pay on behalf of the **Insured Loss** in excess of the Deductible not exceeding the Limit of Liability to which this coverage applies that the **Insured** shall become legally obligated to pay because of **Claims** first made against the **Insured** during the **Policy Period** or if applicable, during any Extension Period, for **Wrongful Tenant Discrimination** of an **Insured** arising solely out of an **Insured's** duties on behalf of the **Named Insured**.
- B. The **Company** has the right and duty to defend any **Claim** to which this insurance applies, even if the allegations of the **Claim** are groundless, false or fraudulent. The **Company** may investigate any **Claim** and settle any **Claim** with the **Insured's** consent as the **Company** deems expedient, but the **Company** is not obligated to pay any damages or defend any **Claim** after the Limit of Liability has been exhausted by the payment of **Loss** or **Defense Costs**.

II. FULL PRIOR ACTS PROVISION

Coverage shall apply to any **Claim** first made against the **Insured** arising out of **Wrongful Tenant Discrimination** committed prior to the expiration date of this Policy, provided that the **Claim** is first made during the **Policy Period**, or Extension Period, if applicable, and written notice of said **Claim** is reported to the **Company** no later than 60 days after the end of the **Policy Period** or, if applicable, during the Extension Period.

However, coverage shall not apply to any **Claim** based upon or arising out of any **Wrongful Tenant Discrimination** or circumstance likely to give rise to a **Claim** of which any **Insured** had knowledge, or otherwise had a reasonable basis to anticipate might result in a **Claim**, prior to the earlier of:

- A. The inception of this Policy; or
- B. The inception of the first Policy with the **Company** of this type, provided the **Named Insured** has continuously renewed and maintained in effect this Policy with the **Company**.

III. DEFINITIONS

A. "Application" means:

- (1) the Application for the Policy, a copy of which is attached hereto; and
- (2) the Application(s), including any material submitted therewith, for all previous policies issued by the **Company** providing continuous coverage until the inception date of this policy together with any material submitted with the **Application** for this Policy, all of which shall be retained on file and deemed a part of this Policy as if physically attached hereto.

B. "Claim" means:

- (1) any written notice received by any **Insured** that any person or entity intends to hold such **Insured** responsible for **Wrongful Tenant Discrimination**;
- (2) any judicial or administrative proceeding initiated against any **Insured** seeking to hold such **Insured** responsible for **Wrongful Tenant Discrimination**, including any appeal therefrom.

C. "Company" means the insurer identified in the Declarations.

- D. "Defense Costs"** means reasonable and necessary legal fees and expenses incurred by any attorney designated by the **Company** to defend the **Insureds** and all other fees, costs, costs of attachment or similar bonds (but without any obligation on the part of the **Company** to apply for or furnish such bonds) and expenses incurred by the **Company** resulting from the investigation, adjustment, defense and appeal of a **Claim**, but does not mean salaries, wages, overhead or benefits expenses of any **Insured**.
- E. "Insured"** means:
- (1) the **Named Insured**;
 - (2) any past or present partner, officer, director, trustee, managing agent or employee of the **Named Insured**, solely while providing **Professional Services** on behalf of the **Named Insured**;
 - (3) the estate, heirs, executors, administrators and legal representatives of any **Insured** in the event of such **Insured's** death, incapacity, insolvency, or bankruptcy, but only to the extent that such **Insured** would otherwise be provided coverage under this Policy;
 - (4) any entity for which the **Named Insured** has agreed to provide **Professional Services**. However, such entity will only be considered an **Insured** under this Policy for **Claims** arising solely out of **Wrongful Tenant Discrimination** of the entity or individuals stated above in Definition E (1), (2) and (3).
- F. "Loss"** means damages and settlements, but does not include punitive or exemplary damages, that portion of any multiplied damage award which exceeds the amount multiplied, criminal or civil fines or penalties imposed by law, taxes, and matters deemed uninsurable under the law pursuant to which this Policy shall be construed.
- G. "Named Insured"** means the person or entity designated in Item 1 of the Declarations.
- H. "Policy Period"** means the period from the effective date of the Policy to the Policy expiration date as set forth in the Declarations, or its earlier cancellation or termination date, if any.
- I. "Pollutants"** means noise or any solid, liquid, gaseous or thermal irritant or contaminant, including, but not limited to smoke, vapor, soot, fumes, acids, alkalis, chemicals, toxic materials, radon, asbestos, lead, electromagnetic radiation, **Volatile Organic Compound** and gases therefrom, radon, combustion byproducts and **Waste**.
- J. "Professional Services"** means services performed by the **Insured** in the **Insured's** capacity as a property manager or leasing agent.
- K. "Volatile Organic Compound"** means any compound which discharges organic gases as it decomposes or evaporates, examples of which include but are not limited to formaldehyde, pesticides, adhesives, construction materials made with organic chemicals, solvents, paint varnish and cleaning products.
- L. "Waste"** means any property intended to be disposed, recycled, reused or reclaimed by the owner or user thereof.
- M. "Wrongful Tenant Discrimination"** means any discrimination by the **Insured** on the basis of age, sex, race, color, religion, disability, familial status, marital status, national origin or sexual preference; provided always that such **Claim** arises out of any negligent act, error, or omission committed by the **Insured** in the rendering of or failure to render **Professional Services** for others.

IV. EXCLUSIONS

The **Company** shall not be liable to make payment for **Loss** or **Defense Costs** in connection with any **Claim** made against any **Insured** arising out of, directly or indirectly resulting from or in consequence of, or in any way involving:

- A.** any actual or alleged bodily injury, mental anguish, humiliation, pain, suffering, sickness, disease or death of any person, libel, slander or defamation, emotional distress, false arrest, detention or imprisonment, wrongful entry or eviction or other invasions of private occupancy, malicious prosecution, or damage to or destruction of any tangible property including any resulting loss of use;

- B. violation of state, federal or governmental anti-trust, restraint of trade or deceptive trade practice laws, rules or regulations committed by, at the direction of, or with the knowledge of, any **Insured**;
- C. any **Claim** seeking or non-pecuniary, injunctive or equitable relief or redress;
- D. disputes involving an **Insured's** fee or charges, any personal profit or advantage to which the **Insured** is not legally entitled, or the failure or inability to pay or collect premium, escrow or tax money or the conversion, misappropriation, commingling or defalcation of funds or other property;
- E. any **Claim** made by an **Insured** against any other **Insured**;
- F. the rendering or failure to render **Professional Services** by any **Insured** as an employee, owner, partner, stockholder, trustee, director or officer of any sole proprietorship, partnership, or corporation or other business enterprise other than the **Named Insured**;
- G. any actual or alleged:
 - (1) refusal to employ;
 - (2) termination of employment;
 - (3) employment related coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, or discrimination of employment, or other employment-related practices, policies, acts or omissions; or
 - (4) sexual harassment by an **Insured** against any person(s) or entity;
- H. liability of others assumed by any **Insured** under any contract or agreement, including any warranty, unless such liability would have attached in the absence of such contract, agreement or warranty;
- I. any class action suit;
- J. any cost or charges associated with repairing, building or modifying real property to accommodate or comply with the American with Disabilities Act, or any other anti-discrimination law or to any cost required to modify property to comply with any award by a court, administrative order, arbitration award or any similar judgment;
- K. performance of or failure to perform services as a(n) real estate agent and/or broker, real estate consultant, buyers broker, real estate appraiser, auctioneer, tax advisor, insurance agent, insurance broker, mortgage broker or consultant, mortgage banker, escrow agent, title abstractor or title agent, home or pest inspector, attorney, architect, engineer, accountant, zoning consultant, site acquisition consultant, property developer, builder, construction advisor and/or construction manager;
- L. the formulation, promotion, syndication, offer, sale or management of any limited or general partnership or real estate investment trust or any interest therein;
- M. conduct that is committed with wanton, willful, reckless or intentional disregard of any law or laws that is or are the foundation for the **Claim**, or any criminal, malicious, dishonest, fraudulent act or omission or deliberate misrepresentation committed by, at the direction of, or with the knowledge of any **Insured**;
- N. the return of rents, security deposits or any other funds held by an **Insured**;
- O. any **Claim**, suit or proceeding brought by or on behalf of any regulatory or administrative agency;
- P. any pending or prior litigation or administrative or regulatory proceeding of which an **Insured** had knowledge before the inception date of this Policy; or any fact, circumstance, event, situation, or **Wrongful Tenant Discrimination** which before the inception date of this Policy was the subject to any notice under any other similar policy of insurance; or any future **Claims** or litigation based upon the pending or prior litigation or derived from the same or essentially the same facts, actual or alleged;
- Q.
 - 1. leasing or property management of property developed or constructed by:
 - A. an **Insured**; or
 - B. any entity in which an **Insured** has a financial interest or entity which has a financial interest in an **Insured**; or
 - C. any entity coming under the same financial control as an **Insured**.
 - 2. leasing or property management in which an **Insured's** ownership is more than 25% or any **Claim** brought by any individuals having an ownership interest

in the property being managed, however this exclusion shall not apply to claims brought by any entity solely defined under Definition E(4).

- R. 1. any loss, cost or expense in connection with any **Claim** made against any **Insured**;
2. damages for devaluation of property or for the taking, use or acquisition or interference with the rights of others in property or air space;
3. any loss, cost or expense, including but not limited to fines and penalties, arising out of any governmental direction or request, or any private party or citizen action, that an **Insured** test for, monitor, clean up, remove, contain, treat, detoxify or neutralize **Pollutants**; or
4. any litigation or administrative procedure in which an **Insured** may be involved as a party;

arising, directly, indirectly, or in concurrence or in any sequence out of actual, alleged or threatened existence, discharge, dispersal, release or escape of **Pollutants**, whether or not such actual, alleged or threatened existence discharge, dispersal, release or escape is sudden, accidental or gradual in nature.

In addition, this insurance does not apply to any loss, cost or expense arising out of or related to any form of **Pollutant**, whether or not such actual, alleged or threatened existence, discharge, dispersal, release or escape is intentionally caused or whether or not such injury, damage, devaluation, cost or expense is expected or intended from the standpoint of the **Insured**.

This exclusion applies even if such **Pollutant** has a function in, or is used by any **Insured** in the **Insured's** business, operations, premises, site or location.

- S. any radioactive, toxic, or explosive properties of nuclear material which includes, but is not limited to, source material, "special nuclear material," and "by product material" as those terms are defined in the Atomic Energy Act of 1954 and any amendments thereto and any similar provisions of any federal, state or local statutory or common law;
- T. any portion of a **Claim** covered under any other coverage part of this Policy.

V. LIMITS OF LIABILITY AND DEDUCTIBLE

Regardless of the number of **Insureds** under this Policy, **Claims** made or suits brought on account of **Wrongful Tenant Discrimination** or otherwise, the **Company's** liability is limited as follows:

- A. the Limit of Liability specified in the Declarations hereof as annual aggregate shall be the maximum liability for **Loss** and **Defense Costs** from all **Claims** to which this Policy applies for each **Policy Period**;
- B. the Limit of Liability specified in the Declarations hereof as the Limit for each **Claim** shall be the maximum liability for **Loss** and **Defense Costs** for each **Claim** to which this Policy applies;
- C. **Defense Costs** shall be part of and not in addition to the Limit of Liability specified in the Declarations, and such **Defense Costs** shall reduce the Limit of Liability as shown in the Declarations;
- D. the Deductible amount stated in the Declarations shall apply to **Loss** and **Defense Costs** and shall apply to each and every **Claim**. The **Company** shall only be liable to pay, subject to the Limits of Liability provisions stated above, for **Loss** and **Defense Costs** in excess of such Deductible, and such Deductible shall not be insured under this Policy;
- E. the Limit of Liability for the Extension Period, if applicable, shall be a part of and not in addition to the limit specified in the Declarations;
- F. **Claims** based upon or arising out of the same **Wrongful Tenant Discrimination**, interrelated acts of **Wrongful Tenant Discrimination**, a series of similar or related acts of **Wrongful Tenant Discrimination**, or essentially the same acts, errors or omissions, shall be considered a single **Claim** and shall be considered first made during the **Policy Period** or Extension Period, if applicable, in which the earliest **Claim** arising out of such **Wrongful Tenant Discrimination** was first made and all **Loss** and **Defense Costs** for such **Claims** shall be subject to the one Limit of Liability that applies to such earliest **Claim**.

This endorsement modifies insurance provided under the following:

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM

ERRORS AND OMISSIONS RETROACTIVE DATE ENDORSEMENT

Coverage Part A, Property Managers Errors and Omissions, **II, FULL PRIOR ACTS COVERAGE PROVISION**, is deleted in its entirety and replaced with the following:

In consideration of the premium paid, it is agreed that the **Company** shall not be liable to make any payment for **Loss** or **Defense Costs** in connection with any **Claim** made against any **Insured** based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving a **Wrongful Act** or a **Wrongful Act** resulting in **Personal Injury** committed, or alleged to have been committed prior to 01/01/2010.

Coverage shall also not apply to any **Claim** based upon or arising out of any **Wrongful Act** or **Wrongful Act** resulting in **Personal Injury** or circumstance likely to give rise to a **Claim** or which any **Insured** had knowledge, or otherwise had basis to reasonably anticipate might result in a **Claim**, prior to the inception of this Policy. Or, in connection with any **Claim** made against any **Insured** based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving any matter, fact, or circumstances disclosed in connection with the matter, fact or circumstance outlined below:

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This endorsement modifies insurance provided under the following:

PROPERTY MANAGERS ERRORS AND OMISSIONS LIABILITY

TENANT DISCRIMINATION RETROACTIVE DATE ENDORSEMENT

Coverage Part B, Tenant Discrimination, Section II, FULL PRIOR ACTS COVERAGE PROVISION is deleted in its entirety and replaced with the following:

In consideration of the premium paid, it is agreed that the Company shall not be liable to make any payment for **Loss or Claim Expenses** in connection with any **Claim** made against any **Insured** based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving a **Wrongful Act** committed, or alleged to have been committed prior to 01/01/2010.

Coverage shall also not apply to any **Claim** based upon or arising out of any **Wrongful Act** or circumstance likely to give rise to a **Claim** or which any **Insured** had knowledge, or otherwise had basis to reasonably anticipate might result in a **Claim**, prior to the inception date of this Policy (including, but not limited to, any prior **Claim** or possible **Claim** or circumstance referenced in the **Application**).

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This Endorsement modifies insurance provided under the following:

PROPERTY MANAGERS PROFESSIONAL LIABILITY

USA & TERRITORIES ENDORSEMENT

It is hereby agreed that this Policy applies only to **Wrongful Acts, Wrongful Tenant Discrimination** (if Tenant Discrimination purchased) and **Wrongful Employment Acts** (if Employment Practices Liability Coverage purchased) committed by and suits brought against the **Insured** in the United States of America, its territories, possessions or Puerto Rico.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of your Policy and takes effect on the effective date of your Policy, unless another effective date is shown below.

This endorsement modifies insurance provided under the following:

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM

AMENDMENT OF CONDITIONS

It is agreed:

1. **Common Policy Conditions, 1., EXTENSION PERIOD**, Paragraph A is deleted in its entirety and replaced with the following:

- A. If the **Company** or the **Named Insured** shall cancel or decline to renew this Policy for reasons other than non-payment of premium, the **Named Insured** shall have the right to purchase the Extended Reporting Period granted by this Policy to report any **Claim(s)** first made against the **Insured** during the twelve (12) months following the date of such cancellation or non-renewal, but only in respect of any **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** committed before the effective date of such cancellation or non-renewal.

The additional premium for the Extension Period shall be 100% of the annual premium set forth in the Declarations. The Extension Period shall start on the termination date of the Policy. The **Named Insured** must notify the **Company** in writing and must pay the additional premium set forth above no later than 30 days after the effective date of such cancellation or non-renewal.

2. **Common Policy Conditions, 12., CHANGES IN EXPOSURE**, is deleted in its entirety and replaced with the following:

12. CHANGES IN EXPOSURE

- A. If after the Inception Date of this Policy:

- (1) the **Named Insured** shall consolidate with or merge into, or sell all or substantially all of its assets to any other person or entity or group of persons or entities acting in concert; or
- (2) any person or entity or group of persons or entities acting in concert shall acquire an amount of the outstanding securities representing more than 50% of the voting power for the election of directors of the **Named Insured**, or acquires the voting rights of such an amount of securities;

the above events referred to as the "Transaction",

then this Policy shall continue in full force and effect as to **Wrongful Acts, Wrongful Tenant Discrimination or Wrongful Employment Acts** occurring prior to the effective date of the Transaction, but coverage will cease as respects any actual or alleged **Wrongful Act, Wrongful Tenant Discrimination or Wrongful Employment Act** occurring on or after the Transaction date. This Policy may be canceled after the effective date of the Transaction and the entire premium for this Policy shall be deemed earned as of such time. The Policy will

not be renewed or extended however the **Named Insured** shall have the right to an offer by the **Company** at the end of the Policy term, of an Extension Period described in Section 1 of the Common Policy Conditions of this Policy.

The **Named Insured** shall give the **Company** written notice of the Transaction as soon as practicable, but not later than 30 days after the effective date of the Transaction.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy, unless another effective date is shown.

This endorsement modifies insurance provided under the following:

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM

PERSONAL INJURY COVERAGE ENDORSEMENT

It is hereby agreed that PM 101 (6/01), Coverage Part A, Property Managers Errors and Omissions is amended as follows:

1. III. DEFINITIONS, B., “**Claim**” is deleted in its entirety and replaced with the following:

B. “Claim” means:

- (1) A written demand for money as compensation for **Wrongful Acts** or **Wrongful Acts** resulting in **Personal Injury**, arising solely out of an **Insured’s** duties on behalf of the **Named Insured** ; or
- (2) Any judicial proceeding initiated against any **Insured** seeking to hold such **Insured** responsible for **Wrongful Acts** or **Wrongful Acts** resulting in **Personal Injury**, including any appeal therefrom, arising solely out of an **Insured’s** duties on behalf of the **Named Insured**. **Claim** does not include administrative proceedings before any state licensing board, local real estate board or governmental regulatory body except as provided in Section IV. B.

A **Claim** shall be considered first made when an **Insured** or its legal representative or agent first receives notice of the **Claim**.

2. III. DEFINITIONS, is amended to include:

N. “Wrongful Eviction” means a **Wrongful Act** resulting in the expulsion or removal of a legal resident of a **Residential Property** without legal cause by any **Insured** while acting on behalf of an owner, landlord or lessor of a **Residential Property**. Actual or alleged discrimination by any **Insured** on the basis of age, sex, race, color, religion, disability, familial status, marital status, national origin, source of income or sexual preference is not **Wrongful Eviction**.

O. “Residential Property” means single family dwellings, apartments, townhouses, condominiums and other structures used solely for human habitation and approved for such by a governing municipality.

P. “Personal Injury” means:

- (1) False arrest, detention or imprisonment, wrongful entry or **Wrongful Eviction**, or other invasions of private occupancy or malicious prosecution; and
- (2) The publication or utterance of a libel or slander or other defamatory

or disparaging material, or a publication or an utterance in violation of an individual's right of privacy.

3. V. **EXCLUSIONS**, A. is deleted in its entirety and replaced with the following:

A. Any actual or alleged bodily injury, mental anguish, humiliation, pain, suffering, sickness, disease or death of any person, emotional distress, or damage to or destruction of any tangible property including any resulting loss of use.

4. Coverage afforded for **Personal Injury** shall be excess over any general liability, directors and officers, or any other policy covering any **Insured**.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This endorsement modifies insurance provided under the following:

**PROPERTY MANAGERS ERRORS & OMISSIONS LIABILITY
TENANT DISCRIMINATION (IF PURCHASED)
EMPLOYMENT PRACTICES LIABILITY (IF PURCHASED)**

APPLICATION DEFINITION CLARIFICATION ENDORSEMENT

It is hereby agreed that in COVERAGE PART A, COVERAGE PART B (if purchased), and COVERAGE PART C (if purchased), Section III. DEFINITIONS, A. “**Application**” is amended to:

A. “**Application**” means:

- (1) the Application, if any, including any material submitted therewith, for this Policy; and
- (2) the Application(s), including any material submitted therewith, for all previous Policies issued by the **Company** providing continuous coverage until the inception date of this Policy, together with any material submitted with the Application for this Policy, all of which shall be retained on file and deemed a part of this Policy as if physically attached hereto.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

**PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM
COVERAGE PART B TENANT DISCRIMINATION**

REAL ESTATE ENDORSEMENT – TENANT DISCRIMINATION

It is hereby agreed that PM 102, COVERAGE PART B, TENANT DISCRIMINATION, is amended as follows:

III. DEFINITIONS, E. “**Insured**”, is amended to include the following:

- (5) any independent contractor solely while providing **Professional Services** as a real estate agent and/or broker, real estate consultant or buyer’s broker on behalf of the **Named Insured**.

III. DEFINITIONS, J. “**Professional Services**”, is deleted and replaced by the following:

- J. “**Professional Services**” means services performed by the **Insured** in **Insured’s** capacity as a property manager, leasing agent, real estate agent and/or broker, real estate consultant, and buyer’s broker. **Professional Services** shall also mean services provided by any **Insured** by or through the **Named Insured’s** website, e-mail, facsimile or social media in the capacity as a property manager, leasing agent, real estate agent and/or broker, real estate consultant and buyer’s broker.

V. EXCLUSIONS, K., is deleted in its entirety and replaced with the following:

- K. The performance of or failure to perform the following services as a: real estate appraiser, business broker, auctioneer, tax advisor, insurance agent, insurance broker, mortgage broker or consultant, mortgage banker, escrow agent, title abstractor or title agent, home or pest inspector, attorney, architect, engineer, accountant, zoning consultant, site acquisition consultant, property developer, builder, construction advisor and/or construction manager;

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured’s** Policy and takes effect on the effective date of the **Named Insured’s** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COVERAGE PART A PROPERTY MANAGERS ERRORS AND OMISSIONS

Bodily Injury And Property Damage Sublimit Coverage

SCHEDULE OF COVERAGE AND LIMIT:

COVERAGE:

Property Showing and Open House Coverage
& Door Lockbox Coverage

LIMIT OF LIABILITY

\$50,000 Each **Claim** and In the
Aggregate

For purposes of coverage provided by this endorsement, it is agreed:

I. INSURING AGREEMENTS is amended to add the following:

PROPERTY SHOWING and OPEN HOUSE COVERAGE

The **Company** will pay on behalf of the **Insured**, **Loss** and **Defense Costs** that any **Insured** becomes legally obligated to pay because of a **Claim** made against any **Insured** for a **Wrongful Act** resulting in bodily injury to others or damage to, destruction of or loss of use of tangible property belonging to others that result directly from a **Property Showing** or **Open House**.

DOOR LOCKBOX COVERAGE

The **Company** will pay on behalf of the **Insured**, **Loss** and **Defense Costs** that any **Insured** becomes legally obligated to pay because of a **Claim** made against any **Insured** for a **Wrongful Act** resulting in bodily injury to others or damage to, destruction of or loss of use of tangible property belonging to others resulting directly from **Professional Services** in the maintenance, use or operation of a door lockbox on real property that is not owned, occupied by or leased to any **Insured**.

III. DEFINITIONS, is amended to add the following:

“Property Showing” means the act of showing real property that is for sale, lease or rent to potential buyers or tenants by any **Insured** while providing **Professional Services**. **Property Showing** does not mean showing real property owned, occupied by, or leased to any **Insured**.

“Open House” means a scheduled, advertised event conducted by any **Insured** while providing **Professional Services** for the purpose of providing multiple potential buyers with an opportunity to inspect real property that is listed for sale by any **Insured** but is not owned, occupied or leased to any **Insured**.

V. EXCLUSIONS, A. is amended to add the following:

However, this Exclusion does not apply to **Claims** for bodily injury to others, or damage to or destruction of or loss of use of tangible property belonging to others resulting directly from a **Property Showing** or **Open House** as defined herein or the maintenance, use or operation of a door lockbox on real property that is not owned, occupied by or leased to any **Insured**.

VI. LIMITS OF LIABILITY AND DEDUCTIBLE is amended to add the following:

The Limit of Liability specified in the schedule above as “Each Claim” and “In The Aggregate” shall be the maximum liability of the **Company** for **Loss** and **Defense Costs** combined for coverage provided by this endorsement. Such Limit of Liability is a part of not in addition to the “Each Claim” and “In The Aggregate” limits of liability for Coverage Part A shown on the Policy Declarations.

Defense Costs for the coverage provided by this endorsement are a part of and not in addition to the Limit of Liability shown in the schedule above.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

**PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM
COVERAGE PART A PROPERTY MANAGERS ERRORS AND OMISSIONS**

COVERAGE PART A. CLARIFICATION ENDORSEMENT

It is hereby agreed that PM 101 (6/01), Coverage Part A, Property Managers Errors and Omissions is amended as follows:

III. DEFINITIONS, B. “**Claim**” is deleted in its entirety and replaced with the following:

B. “**Claim**” means:

- (1) a demand for money as compensation for a **Wrongful Act**; or
- (2) any judicial proceeding initiated against any **Insured** seeking to hold such **Insured** responsible for a **Wrongful Act**, including any appeal therefrom. **Claim** does not include administrative proceedings before any state licensing board, local real estate board or governmental regulatory body except as provided in Coverage Part A. Section IV. B.

III. DEFINITIONS, E (4) is deleted in its entirety and replaced with the following:

- (4) Any entity for which the **Named Insured** has agreed to provide **Professional Services**. However, such entity will only be considered an **Insured** under this Policy for **Claims** arising solely out of **Wrongful Acts** of the **Named Insured** or those identified in Definition E (2) or E (3).

III. DEFINITIONS, M is deleted in its entirety and replaced with the following:

M. “**Wrongful Act**” means any actual or alleged negligent act, error or omission of an **Insured** arising solely from the rendering or failure to render **Professional Services**.

Wrongful Acts based upon, arising from, or in consequence of the same or related facts, circumstances, situations, transactions or events, or that are logically or causally connected by reason of any common or related series of facts, circumstances, situations, transactions or events shall be deemed to be one **Wrongful Act** and to have commenced at the time of the earliest **Wrongful Act**.

V. EXCLUSIONS, C is deleted in its entirety and replaced with the following:

C. Actual or alleged violation of state, federal or governmental antitrust, restraint of trade or deceptive trade practice laws, rules or regulations, consumer protection, or

other similar laws committed by, at the direction of, or with the knowledge of any **Insured**.

V. EXCLUSIONS, G is deleted in its entirety and replaced with the following:

G.

- a) disputes involving an **Insured's** fee or charges; or
- b) personal profit or advantage to which the **Insured** is not legally entitled; or
- c) actual or alleged failure or inability to pay or collect premium, escrow or tax money; or
- d) actual or alleged conversion, misappropriation, commingling, improper use, theft, embezzlement or defalcation of funds, account information or other property;
- e) voluntary parting with funds, account information or other property if induced to do so by any fraudulent scheme, trick, device or false pretense;

by any person or entity.

V. EXCLUSIONS, M is deleted in its entirety and replaced with the following:

M. Any class action suit whether certified or not.

V. EXCLUSIONS, P is deleted in its entirety and replaced with the following:

P. The actual or alleged performance of or failure to perform services as a(n) real estate agent and/ or broker, real estate consultant, buyers broker, real estate appraiser, auctioneer, tax advisor, insurance agent, insurance broker, mortgage broker or consultant, mortgage banker, escrow agent, title abstractor or title agent, home or pest inspector, attorney, architect, engineer, accountant, zoning consultant, site acquisition consultant, property developer, builder, construction advisor and/or construction manager.

V. EXCLUSIONS, R is deleted in its entirety and replaced with the following:

R. Any actual or alleged fraudulent or criminal act or omission or deliberate misrepresentation committed by, at the direction of, or with the knowledge of any **Insured**;

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of the **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

**PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY FORM
COVERAGE PART B TENANT DISCRIMINATION**

COVERAGE PART B. CLARIFICATION ENDORSEMENT

It is hereby agreed that PM 102 (6/01), Coverage Part B, Tenant Discrimination is amended as follows:

III. DEFINITIONS, B is deleted in its entirety and replaced with the following:

B. “**Claim**” means:

- (1) A demand for money as compensation for a **Wrongful Tenant Discrimination**; or
- (2) Any judicial proceeding initiated against any **Insured** seeking to hold such **Insured** responsible for a **Wrongful Tenant Discrimination**, including any appeal therefrom. **Claim** does not include administrative proceedings before any state licensing board, local real estate board or governmental regulatory body except as provided in Coverage Part A. Section IV. B.

III. DEFINITIONS, E (4) is deleted in its entirety and replaced with the following:

- (4) Any entity for which the **Named Insured** has agreed to provide **Professional Services**. However, such entity will only be considered an **Insured** under this Policy for **Claims** arising solely out of **Wrongful Tenant Discrimination** of the **Named Insured** or those individuals stated above in Definition E (1), (2) and (3).

IV. EXCLUSIONS, B is deleted in its entirety and replaced with the following:

- B. Actual or alleged violation of state, federal or governmental antitrust, restraint of trade or deceptive trade practice laws, rules or regulations, consumer protection, or other similar laws committed by, at the direction of, or with the knowledge of any **Insured**.

IV. EXCLUSIONS, D is deleted in its entirety and replaced with the following:

- D. Disputes involving an **Insured’s** fee or charges, any personal profit or advantage to which the **Insured** is not legally entitled, or the actual or alleged failure or inability to pay or collect premium escrow or tax money or the actual or alleged conversion, misappropriation, commingling or defalcation of funds or other property;

IV. EXCLUSIONS, I is deleted in its entirety and replaced with the following:

I. Any class action suit whether certified or not.

IV. EXCLUSIONS, K is deleted in its entirety and replaced with the following:

K. The actual or alleged performance of or failure to perform services as a(n) real estate agent and/ or broker, real estate consultant, buyers broker, real estate appraiser, auctioneer, tax advisor, insurance agent, insurance broker, mortgage broker or consultant, mortgage banker, escrow agent, title abstractor or title agent, home or pest inspector, attorney, architect, engineer, accountant, zoning consultant, site acquisition consultant, property developer, builder, construction advisor and/or construction manager.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This Endorsement modifies insurance provided under the following:

**PROPERTY MANAGERS PROFESSIONAL LIABILITY
POLICY OR PROPERTY MANAGERS PACKAGE POLICY**

FLORIDA STATE AMENDATORY ENDORSEMENT

To be attached to and form a part of all Property Managers Professional Liability or Property Managers Package policies written in the state of Florida.

It is hereby agreed that:

1. The **Insured** should use the following telephone number for any questions it may have regarding this Policy:

(888) 523-5545

2. PM-100 (3/01) **Common Policy Conditions**, Section 4. **CANCELLATION OR NON-RENEWAL** is deleted in its entirety and replaced with the following:

4. CANCELLATION AND NON-RENEWAL

CANCELLATION

1. The **Insured** may cancel the Policy by returning it to the **Company** or by giving the **Company** advance notice of the date cancellation is to take effect.
2. When this Policy is in effect less than 90 days and is not a renewal or continuation policy; the **Company** may cancel by mailing at least:
 - a. 10 days notice if the **Company** cancels for nonpayment of premium.
 - b. 20 days notice if:
 - i. the **Insured** has made a material misrepresentation which affects the insurability of the risk.
 - ii. If the **Company** cancels for any other reason.

3. When this Policy is in effect 90 days or more or is a renewal or continuation Policy, the **Company** may cancel only for one or more of the following reasons:
 - a. Nonpayment of premium;
 - b. The Policy was obtained by a material misstatement;
 - c. Failure to comply with underwriting requirements within 90 days of the effective date of coverage;
 - d. A substantial change in the risk covered by the Policy; or
 - e. The cancellation is for all **Insureds** under such policies for a given class of **Insureds**.
4. If this Policy is canceled by the **Company**, the **Insured** may be entitled to a premium refund. If so, the **Company** will send to the **Insured** the refund within 10 business days after the effective date of cancellation. However, making or offering to make the refund is not a condition of cancellation. If the **Company** cancels, the unearned premium will be returned within 15 days after the effective date of cancellation. The refund, if any, will be computed pro rata.
5. The effective date of cancellation stated in the notice shall become the end of the policy period.
6. Notice of cancellation shall include the reason or reasons for the cancellation of the Policy.

NON-RENEWAL

1. If the **Company** decides not to renew or to continue this Policy, the **Company** will mail to the **Insured**, a notice at least 45 days before the end of the policy period stating the reason(s) for cancellation/non-renewal. If the policy period is other than one year, the **Company** will have the right not to renew or continue it only at an anniversary of its original effective date, if the **Company** offers to renew or continue and the **Insured** does not accept, this Policy will terminate at the end of the current policy period. Failure to pay the required renewal or continuation premium when due shall mean that the **Insured** has not accepted the offer of renewal.
2. If the **Company** fails to mail proper notice of non-renewal and the **Insured** obtains other insurance, this Policy will end on the effective date of that insurance.

MAILING OF NOTICE

1. Any notice of cancellation or non-renewal will be mailed to the **Insured** at the **Insured's** last known address. However, the **Company** may deliver any notice instead of mailing it. Proof of mailing of any such notice shall be sufficient proof of notice. Notices of cancellation or non-renewal shall include the reason or reasons for the cancellation or non-renewal of the Policy.
2. Until the **Company** issues a proper non-renewal or cancellation notice that complies with applicable law, insurance coverage will remain in effect. However, if the **Insured** obtains replacement coverage, the **Company's** obligation to continue coverage hereunder shall cease.

Any cancellation or renewal shall not affect the obligation of the parties in existence on the date of termination for which proper premium has been paid.

3. PM-101 (6/01) Property Managers Errors and Omissions and PM-102 (6/01) Tenant Discrimination, Section III. **DEFINITIONS**, Definition I. is deleted in its entirety and replaced with the following:

I. "**Pollutants**" means any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor and waste.

Definitions K. and L. are deleted in their entireties.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of your Policy and takes effect on the effective date of your Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This Endorsement modifies insurance provided under the following:

PROPERTY MANAGERS PROFESSIONAL LIABILITY POLICY

**MOLD, FUNGUS, BACTERIA, VIRUS AND ORGANIC PATHOGEN
ENDORSEMENT – PROFESSIONAL**

It is hereby agreed that PM-101 Coverage Part A, Property Managers Errors and Omissions, Section V. EXCLUSIONS, Exclusion V. and (if purchased) PM-102 Coverage Part B, Tenant Discrimination, Section IV. EXCLUSIONS, Exclusion R. are deleted in their entirety and replaced with the following:

1. to any loss, cost or expense in connection with any **Claim** made against any **Insured**;
2. to damages for devaluation of property or for the taking, use or acquisition or interference with the rights of others in property or air space;
3. to any loss, cost or expense, including but not limited to fines and penalties, arising out of any governmental direction or request, or any private party or citizen action, that an **Insured** test for, monitor, clean up, remove, contain, treat, detoxify or neutralize “organic pathogens”; or
4. to any litigation or administrative procedure in which an **Insured** may be involved as a party;

arising directly, indirectly, or in concurrence or in any sequence out of actual, alleged or threatened existence, discharge, dispersal, release or escape of “organic pathogens,” whether or not such actual, alleged or threatened existence, discharge, dispersal, release or escape is sudden, accidental or gradual in nature.

This insurance will also not apply to, and the Company will not defend or pay for, any **Claim** arising out of, indirectly resulting from, based upon or in any way involving any actual or alleged water damage or failure to disclose water damage that results in the existence of an “organic pathogen.”

In addition, this insurance does not apply to any loss, cost or expense arising out of or related to any form of “organic pathogen,” whether or not such actual, alleged or threatened existence, discharge, dispersal, release or escape is intentionally caused, or whether or not such injury, damage, devaluation, cost or expense is expected or intended from the standpoint of the **Insured**.

“Organic pathogen” means any organic irritant or contaminant, including but not limited to mold, fungus, bacteria or virus, including but not limited to their byproduct such as mycotoxin, mildew, or biogenic aerosol.

All other terms and conditions of this **Policy** remain unchanged. This endorsement is a part of your **Policy** and takes effect on the effective date of your **Policy** unless another effective date is shown.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

WAR OR TERRORISM EXCLUSION

The following supercedes the terms and conditions of this policy.

This Policy does not apply to, and the Company will not defend or pay Loss for, any Claim arising out of, directly or indirectly resulting from, based upon or in any way involving any actual or alleged:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents;
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these; or
- (4) "Terrorism", including any action taken in hindering or defending against an actual or expected incident of "terrorism"

regardless of any other cause or event that contributes concurrently or in any sequence to the injury or damage

The following definition is added to the **Definitions** Section:

"Terrorism" means activities against persons, organizations or property of any nature:

1. That involve the following or preparation for the following:
 - a. Use or threat of force or violence;
 - b. Commission or threat of a dangerous act;or
 - c. Commission or threat of an act that interferes with or disrupts an electronic, communication, information, or mechanical system; and
2. When one or both of the following applies:
 - a. The effect is to intimidate or coerce a government, or to cause chaos among the civilian population or any segment thereof, or to disrupt any segment of the economy; or
 - b. It is reasonable to believe the intent is to intimidate or coerce a government, or to seek revenge or retaliate, or to further political, ideological, religious, social or economic objectives or to express (or express opposition to) a philosophy or ideology.